

GENERATIVE AI'S ACT TWO

From Technology Hammer to Real Value

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Six Decades of Technological Progress Converged to Enable Generative AI

6 DECADES

Moore's Law

Delivered the compute horsepower to process exaflops of data

4 DECADES

The Internet

Accelerated by COVID, produced trillions of tokens of training data

2 DECADES

Mobile & Cloud

Put a supercomputer in every human's palm

ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

> \$1B

startup revenue in months,
not years

ChatGPT

Fastest-growing app in history

Strong PMF among students and developers

Midjourney

Hundreds of \$M in revenue

Team of just 11 people

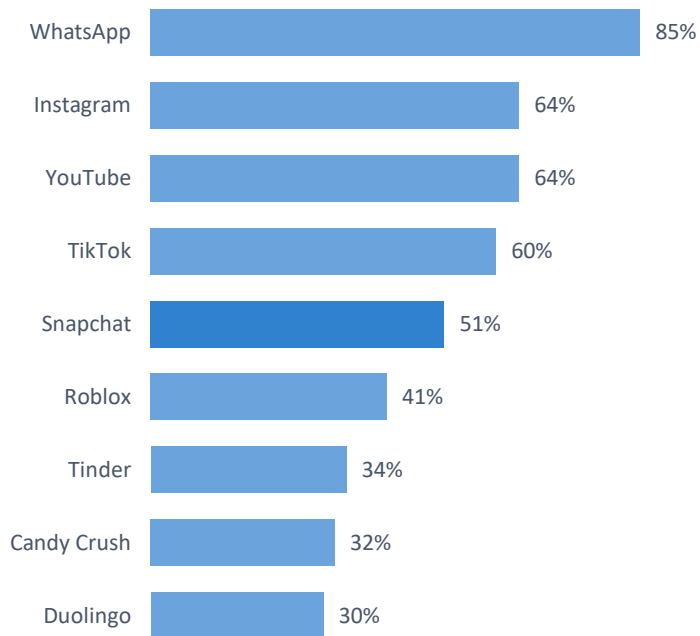
Character.ai

2 hrs avg. session time

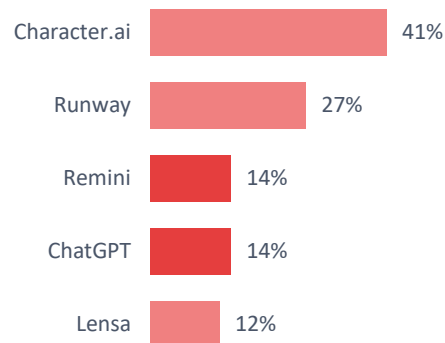
Pioneered AI entertainment & companionship

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

INCUMBENTS (Median 51%)

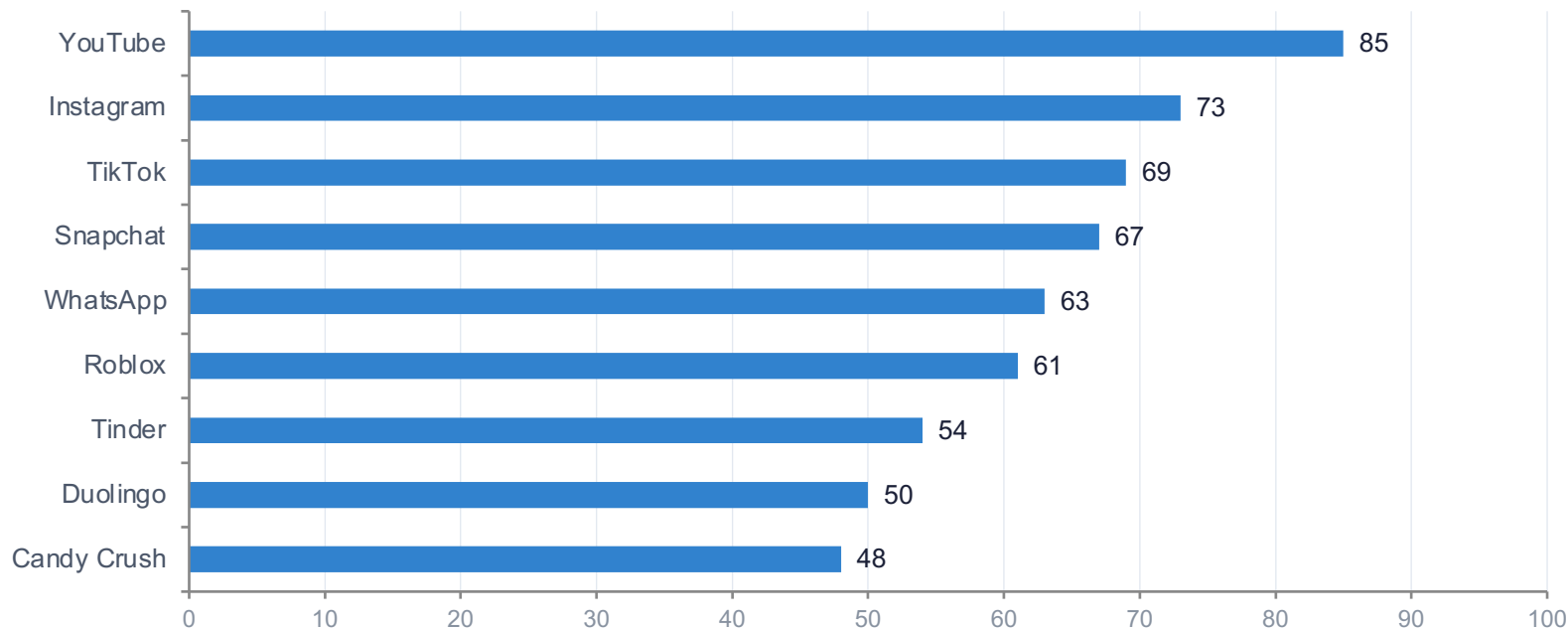


AI-FIRST (Median 14%)



3.6x retention gap — AI-first apps retain users at roughly one-third the rate of established consumer apps

YouTube Leads Incumbents at 85% Monthly Active Usage



Median: 63% monthly active usage — the benchmark AI apps must clear.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1: TECHNOLOGY-OUT

- Foundation models as the entire solution
- Novelty demos & lightweight wrappers
- Cool technology seeking a problem
- Poor user retention (14% median)
- Thin competitive moats

ACT 2: CUSTOMER-BACK

- Foundation models as a piece of a comprehensive solution
- New editing interfaces for stickier workflows
- Multi-modal, end-to-end problem solving
- Solving real human problems
- Workflow-integrated & defensible

Act 2 Exemplars: Harvey (legal LLMs) • Glean (enterprise search) • Character (digital companions) • Ava (companionship)

Market Map Reorganized by Use Case, Not Model Modality

BEFORE: BY MODALITY

- Text Generation
- Image Generation
- Code Generation
- Speech / Audio

NOW: BY USE CASE

- Legal — Harvey (custom LLMs for elite law firms)
- Enterprise Search — Glean (workspace indexing)
- Companionship — Character & Ava
- Multi-modal, end-to-end workflows

The shift from modality to use case reflects the broader transition from technology hammer to value delivery — applications are increasingly multi-modal by nature.

Key Takeaways:

What Separates Winners in Act Two

- 01** Retention is the critical challenge — AI-first apps at 14% median vs. 51% for incumbents, a 3.6× gap
- 02** Foundation models should be a component, not the whole product — thin wrappers won't survive
- 03** Multi-modal, workflow-integrated solutions with new editing interfaces will win
- 04** The >\$1B revenue milestone proves real demand exists despite hype-cycle skepticism
- 05** Companies solving end-to-end human problems — not demoing cool tech — will define Act 2